

The Clorox Company (NYSE: CLX)

Comprehensive Investment Analysis & Investment Thesis

Report date: August 9, 2026 Market data cut-off: August 7, 2026 close Portfolio source: retirement-portfolio-18.xlsx

Research posture: Watchlist initiation

RECOMMENDATION WATCH Quality franchise; proof points still needed	CONVICTION 7 / 10 High franchise confidence; medium earnings confidence	REFERENCE PRICE \$105.15 Aug. 7 closing price	BASE FAIR VALUE \$112-\$120 12-18 month research range
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SENIOR ANALYST CONCLUSION

Clorox is a strong collection of consumer brands going through a messy earnings reset, not a broken franchise. Fiscal 2026 headline declines were heavily distorted by the reversal of ERP-related retailer inventory shipments, but the weak consumer environment, gross-margin pressure and uneven market-share recovery are real. The GOJO/Purell acquisition adds a strategically attractive, recurring B2B hygiene platform, but it also raises leverage and makes fiscal 2027 reported sales growth look stronger than underlying organic demand. At roughly **18.0x the midpoint of FY2027 adjusted EPS guidance** with an annualized dividend yield near **4.7%**, valuation is reasonable, not distressed. The research stance is **WATCH**: the risk/reward is improving, but I want clearer evidence of organic growth, margin recovery, GOJO integration and post-acquisition balance-sheet normalization before upgrading to Add.

Publication-ready watchlist initiation

1. Executive Summary

What is attractive

- **Brand quality remains unusually strong.** About 80% of sales come from brands holding the No. 1 or No. 2 market-share position in their categories.
- **The FY2026 sales decline overstates underlying deterioration.** A roughly 7.5-point reversal of temporary ERP-related shipments depressed the year-over-year comparison.
- **GOJO/Purell improves the growth mix.** GOJO brings nearly \$800 million of annual sales, a broad B2B distributor network and roughly 20 million installed dispensers that support recurring demand.
- **The dividend is meaningful again.** The current \$1.24 quarterly dividend annualizes to \$4.96, or about a 4.7% yield at the reference price.
- **Valuation has reset.** CLX is well below its February 2026 high and trades near 18x FY2027 guided adjusted EPS rather than a premium mid-20s multiple.

What keeps the rating at Watch

- **FY2027 sales growth is mostly inorganic.** Management guides to 13%-14% reported growth, with most of the increase coming from GOJO.
- **Margins are not yet healed.** Q4 FY2026 gross margin fell to 41.3%, a major step down from FY2025's 45.2% full-year level.
- **The dividend consumes most normalized earnings.** The annualized dividend is roughly 85% of the midpoint of FY2027 adjusted EPS guidance.
- **Leverage has risen.** GOJO was funded primarily with debt, and Clorox subsequently issued \$1.5 billion of senior notes.
- **Leadership transition adds execution risk.** Linda Rendle is remaining in place while the board conducts a CEO search after she announced plans to step down for health reasons.

Research metric	Current / Base	Interpretation
FY2026 derived net sales	~\$6.72B	Derived from reported quarterly sales; about 5%-6% below FY2025, heavily affected by ERP timing.
FY2026 derived adjusted EPS	~\$5.54	Near the final Q3 guidance range; materially below FY2025's ERP-aided \$7.72.
FY2027 adjusted EPS guidance	\$5.70-\$6.00	Only modest recovery at the midpoint despite large reported sales growth from GOJO.
FY2027 P/E at \$105.15	~18.0x midpoint	Reasonable for a defensive franchise, but not a deep-value multiple.
Annualized dividend	\$4.96 / ~4.7%	Income is a meaningful part of expected total return; coverage is tighter than ideal.
Base 12-18 mo. fair value	\$112-\$120	Moderate price upside if execution normalizes without a major multiple expansion.
Research stance	WATCH	Improving setup, but not enough margin of safety for an Add at current evidence quality.

Sources: Clorox FY2025 and FY2026 quarterly releases; Aug. 3, 2026 Q4/FY26 reporting via Reuters/WSJ; Alpaca Aug. 7 market snapshot. FY2026 annual sales and EPS shown above are analyst-derived sums of reported quarters because the FY2026 10-K was not yet available in the indexed primary-source set at report cut-off.

2. Portfolio Context

CLX is not currently held in retirement-portfolio-18.xlsx. That matters because this is an entry decision rather than an incumbent-position review. The portfolio already has material exposure to defensive and income-oriented equities through Philip Morris, Coca-Cola, PepsiCo, Southern Company and SCHD, so CLX would add brand and household-products diversification but would also increase the portfolio's consumer-staples/dividend factor exposure.

Related portfolio exposure	Current allocation	Portfolio read-through
Philip Morris (PM)	2.04%	High-quality defensive cash flow and income; different end market but similar low-beta factor exposure.
Coca-Cola (KO)	1.53%	Consumer-staples brand exposure already present.
PepsiCo (PEP)	1.29%	Staples and dividend exposure already present.
Schwab U.S. Dividend Equity ETF (SCHD)	1.24%	Broad dividend-factor overlap.
Southern Company (SO)	2.09%	Defensive income exposure outside staples.
Cash	2.57%	Provides optionality if CLX reaches a more compelling entry valuation.

Portfolio fit: CLX would be best viewed as a **defensive satellite holding**, not a new core position at today's price. Its value to the portfolio is lower correlation and dependable category demand, but the existing portfolio already owns several quality dividend franchises. That makes entry price and evidence of earnings normalization more important.

3. Investment Thesis

3.1 The opportunity

The market is trying to determine how much of Clorox's FY2026 weakness was temporary ERP noise and how much reflects a more durable erosion in consumer demand, market share and margins. The answer is mixed. The ERP comparison is unquestionably large: Clorox estimated that the reversal of prior-year inventory building would reduce FY2026 sales growth by about 7.5 percentage points and adjusted EPS by roughly \$0.90. But management also acknowledged slower-than-expected market-share recovery, value-seeking consumers and elevated manufacturing/logistics costs. The stock therefore offers a recovery setup, not a clean secular-growth story.

3.2 Variant perception

Debate	Consensus / market concern	Research view
FY2026 decline	Clorox's earnings power has structurally deteriorated.	A meaningful portion is timing-related ERP noise, but the margin and demand weakness is real enough that a full snapback should not be assumed.
GOJO acquisition	Debt-funded deal adds risk to an already challenged company.	Strategically sound and competitively attractive, but the deal must earn its keep through organic growth, at least \$50M of synergies and deleveraging.
Dividend	High yield signals value and downside support.	Yes, but the payout ratio is elevated. Dividend safety is still acceptable, while dividend growth has less room until earnings and cash flow recover.
Valuation	CLX is cheap after the decline.	It is cheaper, but about 18x FY2027 guided EPS is closer to fair value than deep value. The stock needs execution, not just mean reversion.

3.3 The three value drivers that matter most

1. Organic sales normalization

The most important proof point is whether legacy Clorox categories return to consistent low-single-digit organic growth once the ERP comparison fully clears.

2. Gross-margin recovery

FY2025 gross margin reached 45.2%; Q4 FY2026 fell to 41.3%. A durable return toward the 43%-45% range is central to EPS recovery.

3. GOJO returns on capital

Purell must deliver mid-single-digit growth, at least \$50M of run-rate synergies and enough cash generation to reduce acquisition leverage without crowding out the dividend.

4. Business & Competitive Position

4.1 Portfolio of brands

Clorox competes primarily in mature, recurring consumer categories rather than high-growth markets. Its advantage is brand leadership and household penetration. The company reports four segments: Health & Wellness, Household, Lifestyle and International. Major brands include Clorox, Pine-Sol, Liquid-Plumr, Glad, Fresh Step, Kingsford, Hidden Valley, Brita and Burt's Bees. Purell and GOJO now expand Health & Wellness into skin hygiene and institutional channels.

FY2025 operating mix	Share of company sales	Key brands / categories
Health & Wellness	38%	Cleaning, disinfecting, professional products; now strengthened by Purell/GOJO.
Household	~29%	Glad bags and wraps, Fresh Step litter, Kingsford grilling.
Lifestyle	~18%	Hidden Valley, Brita, Burt's Bees.
International	~15%	International versions of core categories and local brands.

Source: Clorox FY2025 Form 10-K and FY2025 segment disclosures. Percentages are rounded from operating-segment data.

4.2 Moat assessment

Moat rating: Narrow. Clorox has strong brand intangibles, retailer relationships, shelf presence, category knowledge and advertising scale. About 80% of sales are generated by brands that hold the No. 1 or No. 2 market-share position in their categories. GOJO adds an installed base of roughly 20 million dispensers and B2B relationships that create more recurring demand than a typical retail household product.

The moat is not wider because many categories remain substitutable, private-label competition can intensify during value-seeking consumer periods, and retailer bargaining power is meaningful. Walmart accounted for 27% of FY2025 sales and 27% of the first nine months of FY2026 sales. Strong brands help, but retailer concentration limits pricing freedom.

4.3 GOJO/Purell strategic fit

GOJO fact	Company disclosure	Investment implication
Purchase price	\$2.25B cash	Large transaction relative to Clorox's equity value.
Net of anticipated tax benefits	\$1.92B	Improves effective economics but still requires disciplined integration.
Annual sales at announcement	Nearly \$800M	Meaningful enough to change Health & Wellness growth profile.
3-year sales CAGR	~5%	Above Clorox's mature legacy-category growth profile.
B2B revenue mix	>80%	Diversifies Clorox away from mass-retail concentration.
Installed dispensers	~20M	Supports recurring consumables demand.
Run-rate cost synergies	At least \$50M	Critical to reaching the promised margin and EPS accretion.
Expected EPS profile	Neutral year 1; accretive year 2	FY2028 should begin to show cleaner acquisition economics.

5. Financial Quality & Earnings Power

5.1 Historical and normalized performance

Metric	FY2024	FY2025	FY2026 derived / reported	Read-through
Net sales	\$7.09B	\$7.10B	~\$6.72B	FY26 decline mostly ERP timing plus weaker consumption; Q4 includes one quarter of GOJO.
Organic sales	Not used	+5%	~ -9% FY26 outlook after Q3	About 7.5 points of FY26 decline tied to ERP reversal.
Gross margin	43.0%	45.2%	41.3% Q4	Margin normalization is the key earnings swing factor.
GAAP EPS	\$2.25	\$6.52	~\$4.82	Large comparability noise across cyber, divestiture, digital and acquisition items.
Adjusted EPS	\$6.17	\$7.72	~\$5.54	FY25 included ~\$0.85-\$0.95 ERP timing benefit that reversed in FY26.
Operating cash flow	\$695M	\$981M	\$282M through 9 months	FY26 nine-month cash flow was depressed by the Glad JV termination payment.

Sources: Clorox FY2025 results; Q1-Q3 FY2026 releases; Q4 FY2026 reported results from Aug. 3, 2026. FY2026 annual values shown as derived are sums of reported quarters and should be reconciled to the FY2026 10-K when filed/indexed.

5.2 Earnings quality

What supports quality

- Staple-category demand and brand leadership provide recurring revenue.
- FY2025 operating cash flow of \$981M demonstrated strong cash conversion in a healthier earnings year.
- The five-year digital/ERP investment period is ending, which should remove a recurring adjusted-EPS add-back and produce clearer comparability.
- GOJO adds recurring consumable revenue through its installed dispenser base.

What requires caution

- ERP shipment timing made both FY2025 and FY2026 unusually difficult to interpret.
- Q4 FY2026 gross margin at 41.3% shows underlying cost pressure beyond timing effects.
- FY2026 cash flow was distorted by a large Glad JV termination payment.
- Acquisition and integration adjustments will remain material during the GOJO integration period.

5.3 Balance sheet and leverage

GOJO was funded primarily through debt. At March 31, 2026, immediately before the transaction closed, Clorox reported approximately \$1.59B of notes and loans payable and \$2.49B of long-term debt. In May, Clorox issued \$1.5B of senior notes across 2031, 2033 and 2036 maturities, with coupons ranging from 4.70% to 5.25%. The exact June 30 post-close net-debt ratio should be updated when the FY2026 10-K is available in the indexed source set. The key analytical point is clear: **balance-sheet flexibility is lower than it was before GOJO.**

Quality conclusion: Earnings quality is **adequate but temporarily obscured**. FY2027 should be a much cleaner baseline than FY2026. Until the business demonstrates positive organic sales, margin recovery and post-GOJO deleveraging simultaneously, valuation should not assume a full return to Clorox's historical premium multiple.

6. Q4 / FY2026 Earnings & FY2027 Outlook

Q4 FY2026 metric	Result	Investment read-through
Revenue	\$1.95B / -2%	Above consensus near \$1.90-\$1.91B.
Organic sales	-13%	Still heavily affected by the prior-year ERP inventory build, but weak on the surface.
Gross margin	41.3%	The most concerning line item; down roughly 520 bps year over year.
GAAP EPS	\$1.34	Down sharply year over year due to a very difficult ERP-aided comparison and acquisition effects.
Adjusted EPS	\$1.66	Slightly ahead of consensus around \$1.64-\$1.65.

FY2027 guidance

Guidance item	FY2027	Research interpretation
Net sales growth	+13% to +14%	Headline growth is strong, but most is driven by the full-year inclusion of GOJO.
Adjusted EPS	\$5.70-\$6.00	Midpoint of \$5.85 implies only modest recovery from derived FY2026 adjusted EPS of about \$5.54.
Operating environment	Challenging	Management expects cost volatility, higher-than-normal inflation and value-seeking consumers.

Q4/FY2027 facts cross-checked against Reuters and The Wall Street Journal reporting dated Aug. 3, 2026. Clorox's indexed investor-relations page had announced the Aug. 3 release, but the final Q4 press release had not yet appeared in the web index used for this report.

What the print changed

- **It lowered near-term downside risk.** Revenue and adjusted EPS modestly exceeded expectations, and the shares rallied 6.5% the next day.
- **It did not prove the recovery.** A 41.3% gross margin means earnings are still being compressed by cost inflation and mix.
- **It shifted the debate to FY2027 quality.** Investors should look through reported sales growth and focus on legacy organic sales, GOJO growth, synergy realization and cash conversion.
- **It made the dividend more relevant.** A 4.7% yield provides carry while waiting, but the elevated payout ratio reduces room for mistakes.

7. Management & Capital Allocation

Linda Rendle remains chair and CEO while the board conducts a comprehensive search for a successor after she announced plans to step down for health reasons. The company also simplified its operating structure in June 2026: Chris Hyder became chief operating officer with responsibility for all business units, while Nina Barton moved to chief growth and strategy officer. The structure is intended to reduce complexity and improve execution.

Capital priority	Current posture	Assessment
Brand investment	Advertising and innovation remain strategic priorities	Necessary to defend category leadership and resist private label.
Digital / ERP	Five-year transformation investment is reaching completion	Should improve productivity and reduce adjusted-EPS noise.
GOJO integration	\$2.25B transaction; at least \$50M run-rate synergies targeted	Strategically compelling, financially unproven.
Dividend	\$1.24 quarterly	Attractive yield, but high payout limits growth flexibility.
Debt reduction	Should become a priority after debt-funded acquisition	Required to restore balance-sheet flexibility.

Management grade: B. The company deserves credit for completing a difficult ERP transition and for buying a strategically sensible asset in GOJO. However, execution has been uneven, market-share recovery has lagged in some categories, the balance sheet is more leveraged, and a CEO transition is underway at a critical point in the integration cycle.

8. Dividend & Income Role

The quarterly dividend is \$1.24 per share, or \$4.96 annualized. At \$105.15, that is a yield of approximately **4.7%**. Clorox last increased the quarterly dividend from \$1.22 to \$1.24 in July 2025 and declared \$1.24 again in February 2026.

Dividend metric	Value	Interpretation
Annualized dividend	\$4.96	Meaningful income contribution to total return.
Yield at \$105.15	~4.7%	Attractive relative to CLX's own recent valuation history.
FY2026 adjusted EPS payout	~90%	High; based on derived adjusted EPS of ~\$5.54.
FY2027 guided midpoint payout	~85%	Still elevated, leaving modest capacity for dividend growth until EPS recovers.
FY2025 operating cash flow	\$981M	Demonstrates dividend capacity in a healthier cash-flow year.

Income conclusion: The dividend appears supportable under the base case, but it should not be treated as a free 4.7% yield. A payout in the mid-80s percent of FY2027 adjusted EPS means the dividend depends on successful earnings normalization. For an income-oriented investor, CLX is more attractive as a **yield-plus-recovery** story than as a high-growth dividend compounder today.

9. Valuation

9.1 Current earnings multiple

Valuation input	Value	Interpretation
Reference price	\$105.15	Aug. 7, 2026 close.
FY2027 adjusted EPS guidance	\$5.70-\$6.00	Company guidance reported Aug. 3.
P/E at low-end guidance	18.4x	Not distressed even if earnings land at the low end.
P/E at midpoint	18.0x	Reasonable for a defensive brand franchise if recovery is credible.
P/E at high-end guidance	17.5x	Offers more room for upside if margins recover faster.
Dividend yield	4.7%	Provides carry while valuation remains range-bound.

9.2 What is priced in

The stock no longer requires a return to FY2025's unusually high \$7.72 adjusted EPS to work. At the current price, an 18x multiple on FY2027 guidance implies the market expects a stabilization year, not a dramatic rebound. That is constructive. However, the stock still assumes that margins bottom, GOJO performs as promised and the dividend remains secure. If FY2027 adjusted EPS stalls around \$5.5-\$5.8 with little evidence of organic growth, the multiple can compress toward the mid-teens.

9.3 Pre-earnings Street context

Immediately before the Aug. 3 earnings release, S&P Global-based analyst aggregators showed a broadly **Hold** consensus and an average target around \$104, with a wide target range. Those estimates were set before the Q4 print and the subsequent stock rally, so they are useful as a measure of prior skepticism rather than a current post-print consensus. The important point is that Wall Street entered earnings with low expectations.

Variant perception: My research view is modestly more constructive than the pre-earnings Street consensus because I think the market can underappreciate how much cleaner FY2027 comparisons will become after the ERP distortion. I am not yet bullish enough for an Add because **reported FY2027 sales growth will overstate the organic recovery**, and leverage plus dividend coverage create a narrower margin for execution errors.

9.4 Scenario valuation

Scenario	Probability	Key assumptions	12-18 mo. value
Bear	20%	Legacy organic growth stays weak; gross margin remains near 41%-42%; GOJO integration costs run high; EPS power remains around mid-\$5s; multiple compresses to ~15x.	\$82
Base	55%	Organic sales return to +1%-2%; gross margin improves toward 43%-44%; GOJO synergies progress; FY2028 adjusted EPS reaches ~\$6.35; fair multiple ~18.5x.	\$117
Bull	25%	Organic growth reaches +2%-3%; gross margin moves above 44%; GOJO exceeds \$50M synergies; deleveraging is visible; FY2028 EPS reaches ~\$6.75; multiple ~20x.	\$135
Probability-weighted	100%	Model output before dividends.	\$114.50

Probability-weighted price upside is roughly 9% from \$105.15. Adding the current dividend yield points to a **low-teens gross total-return framework** if the base case develops. That is attractive enough for a Watch rating, but not a wide enough margin of safety to justify a strong Add before the recovery is better evidenced.

9.5 EPS / multiple sensitivity

FY2028 EPS \ P/E	15x	17x	18.5x	20x	22x
\$5.80	\$87	\$99	\$107	\$116	\$128
\$6.10	\$92	\$104	\$113	\$122	\$134
\$6.35	\$95	\$108	\$117	\$127	\$140
\$6.60	\$99	\$112	\$122	\$132	\$145
\$6.90	\$104	\$117	\$128	\$138	\$152

9.6 Valuation discipline

Price zone	Research posture	Required condition
< \$90	Strong margin-of-safety zone	Thesis intact; no evidence of dividend impairment or GOJO integration failure.
\$90-\$95	Potential Add zone	Organic demand stable and FY2027 guidance still credible.
\$95-\$112	Watch / starter-only zone	Current area: fair valuation with improving but unproven fundamentals.
\$112-\$120	Base fair-value zone	Requires visible margin and organic-sales recovery.
> \$120	Demand estimate revisions	Would require higher EPS estimates, faster synergies or renewed premium multiple.

10. Expected Return Framework

Horizon	Base assumptions	Illustrative annualized total return
1 year	Moderate re-rating toward base fair value plus current dividend.	~10%-14%
3 years	Adjusted EPS grows ~5%-7% after normalization; yield contributes ~4%; limited multiple change.	~8%-11%
5 years	GOJO synergies realized; organic sales near long-term framework; dividend growth resumes modestly.	~7%-10%
10 years	Mature staple compounding with brand durability, modest volume/pricing growth and dividends.	~7%-9%

These are analyst scenario ranges, not company guidance or guaranteed returns. Long-horizon outcomes are particularly sensitive to reinvestment returns, inflation, category growth, dividend growth and entry valuation.

11. What Is Working vs. What Is Weakening

Working

- ERP implementation is substantially complete, removing a major operational overhang.
- Q4 revenue and adjusted EPS modestly exceeded expectations.
- GOJO gives Clorox a higher-growth hygiene asset with recurring B2B demand.
- About 80% of sales remain tied to No. 1 or No. 2 category brands.
- The new operating structure should improve accountability and execution speed.
- Valuation and dividend yield are substantially more attractive than at the stock's recent highs.

Weakening / unresolved

- Q4 FY2026 gross margin at 41.3% remains far below a healthy normalized level.
- Consumers are value-seeking, increasing trade-down and private-label risk.
- Reported FY2027 sales growth is acquisition-heavy rather than organic.
- The annual dividend consumes a high percentage of guided earnings.
- Debt and interest expense increased materially around the GOJO acquisition.
- CEO succession is occurring while the company is integrating its largest recent acquisition.

12. Key Risks

Risk	Probability	Impact	What would show it is worsening
Consumer trade-down / private label	High	Med-High	Persistent negative organic volumes, rising promotion, market-share losses in core categories.
Gross-margin recovery failure	Medium	High	Gross margin remains near 41%-42% despite ERP normalization and cost savings.
GOJO integration / leverage	Medium	High	Synergies lag \$50M target, working capital worsens, leverage stays elevated, or credit costs rise.
CEO transition	Medium	Medium	Strategic turnover, delayed appointment, senior-management departures or changes to GOJO priorities.
Customer concentration	Medium	Med-High	Walmart shelf resets, lower orders, adverse trade terms or faster private-label penetration.
Technology / cyber execution	Low-Med	High	New ERP disruption, fulfillment problems, control weaknesses or another material cyber incident.

13. Catalysts & Checkpoints

Catalyst / checkpoint	Timing	What matters
Q1 FY2027 earnings	Fall 2026; exact date not yet confirmed in source set	Legacy organic sales, gross margin, GOJO contribution and interest expense.
CEO appointment	Search underway	Continuity vs. strategic reset; ability to retain operational leadership.
GOJO synergy updates	Throughout FY2027-FY2028	Progress toward at least \$50M run-rate synergies and second-year EPS accretion.
FY2026 10-K / post-close balance sheet	Near term	Exact net debt, interest burden, cash balance and acquisition accounting.
Gross-margin recovery	Next 2-4 quarters	Progress from Q4's 41.3% toward 43%-45% normalized range.
Dividend declaration trajectory	Quarterly	Whether coverage improves enough to support renewed dividend growth.

14. Explicit Thesis-Break Conditions

THE WATCH THESIS IS INVALIDATED OR MATERIALLY WEAKENED IF

- Legacy organic sales remain negative after ERP comparisons fully normalize, indicating structural share or category weakness rather than timing noise.
- Gross margin fails to recover above roughly 42% over the next several quarters without a credible transitory explanation.
- GOJO fails to achieve its targeted cost synergies or becomes materially dilutive beyond the promised first-year transition.
- Post-acquisition leverage remains elevated enough to threaten investment-grade flexibility, dividend coverage or necessary brand investment.
- Adjusted EPS falls materially below the FY2027 guidance range and management cannot bridge the miss to recoverable factors.
- Dividend coverage deteriorates to the point where management must choose between maintaining the payout and protecting the balance sheet.

15. Technical & Market Positioning

CLX closed at \$105.15 on Aug. 7, 2026. The stock had rallied 6.5% on Aug. 4 after results, but remained about 18% below its Feb. 26, 2026 52-week high of \$128.90. This is a healthier setup than a premium-priced defensive stock because expectations have reset, but the post-earnings rally also means the easiest "bad news already priced in" trade has partly occurred.

Positive technical read

The earnings gap higher shows that investors were positioned for a worse outlook. Stabilization above roughly \$100 would suggest the market is willing to capitalize FY2027 normalization rather than punish FY2026 headline declines.

Negative technical read

A break back below the pre-earnings mid-\$90s without new fundamental news would signal that the market remains unconvinced by FY2027 guidance and could reopen the path toward the high-\$80s.

16. Portfolio Fit & Final Recommendation

FINAL RESEARCH RECOMMENDATION

WATCH | Conviction 7/10 | Base fair value \$112-\$120

Clorox is worth keeping on the active watchlist. The company owns durable household brands, GOJO improves the growth and channel mix, and the dividend yield now pays investors to wait. But CLX is not yet a high-conviction Add because the current earnings base is depressed for both temporary and real reasons. The next phase of the thesis must be proven through organic demand, gross-margin recovery and deleveraging.

Portfolio-specific conclusion

Because CLX is not currently held and the portfolio already contains several defensive dividend franchises, there is **no urgency to establish a full position at \$105**. A small starter position could be defensible for an investor prioritizing income and lower volatility, but from a valuation-discipline standpoint the stock becomes more compelling below roughly **\$95** if FY2027 guidance remains intact. Below roughly **\$90**, the prospective return profile would become materially more attractive unless the decline is caused by a true thesis break.

Decision factor	Score	Assessment
Franchise quality / moat	8 / 10	Strong brands and category leadership; offset by retailer power and private-label risk.
Growth quality	6 / 10	GOJO improves mix; organic growth still needs proof.
Margin / earnings visibility	5 / 10	FY2027 cleaner than FY2026, but gross-margin recovery is uncertain.
Balance sheet	5 / 10	Debt-funded acquisition reduces flexibility until deleveraging is demonstrated.
Dividend / income	8 / 10	Attractive yield, but elevated payout ratio limits growth.
Valuation	7 / 10	Reasonable at ~18x FY2027 midpoint; better below \$95.
Portfolio diversification	6 / 10	Defensive benefit, but overlaps existing staples and dividend exposures.
Overall	7 / 10	High-quality watchlist candidate; wait for more evidence or more margin of safety.

17. Evidence Confidence, Assumptions & Source Register

Evidence confidence

Evidence area	Confidence	Comment
Business / historical financials	High	Primary Clorox releases and SEC filings.
GOJO transaction terms	High	Primary Clorox announcement and SEC filings.
Q4 FY2026 and FY2027 guidance	Medium-High	Cross-checked against Reuters and WSJ; final company Q4 release not yet indexed in the source set used.
Current market price	High	Alpaca delayed SIP snapshot for Aug. 7 close.
Valuation / scenarios	Medium	Analyst model assumptions rather than company guidance.
Portfolio fit	High	retirement-portfolio-18.xlsx is the designated portfolio baseline.

Underwriting status: Publication-ready watchlist initiation. The report should be refreshed after the FY2026 10-K is available and after the first FY2027 quarter establishes a clean post-ERP, post-GOJO operating baseline.

Major assumptions: Current annual dividend remains \$4.96; FY2027 adjusted EPS guidance is achieved; GOJO remains broadly EBITDA-margin neutral in year one and becomes accretive after synergies; no severe recession or category disruption is assumed; no target-price multiple above 20x is required in the base case.

Unresolved evidence: Exact June 30, 2026 post-GOJO net debt and leverage; final audited FY2026 annual cash-flow statement; post-Aug. 3 analyst target revisions; exact Q1 FY2027 earnings date.

Source register

1. The Clorox Company - Q4 and FY2025 results / FY2026 outlook, July 31, 2025.
2. The Clorox Company - Q1 FY2026 results, Nov. 3, 2025.
3. The Clorox Company - Q2 FY2026 results, Feb. 3, 2026.
4. The Clorox Company - Q3 FY2026 results, Apr. 30, 2026.
5. The Wall Street Journal - Clorox Q4 FY2026 / FY2027 outlook, Aug. 3, 2026.
6. Reuters - Clorox FY2027 sales outlook and Q4 results, Aug. 3, 2026.
7. The Clorox Company - GOJO acquisition announcement and transaction economics, Jan. 22, 2026.
8. The Clorox Company - completion of GOJO acquisition, Apr. 1, 2026.
9. The Clorox Company - FY2025 Form 10-K.
10. The Clorox Company - Q3 FY2026 Form 10-Q.
11. SEC Form 8-K - May 2026 senior-note financing.
12. The Clorox Company - CEO search announcement, May 28, 2026.
13. The Clorox Company - simplified operating structure, June 17, 2026.
14. The Clorox Company - \$1.24 quarterly dividend declaration, Feb. 24, 2026.
15. StockAnalysis / S&P Global - pre-earnings analyst consensus snapshot, late July 2026.
16. Alpaca delayed SIP market data - CLX Aug. 7, 2026 closing price and quote snapshot.
17. Portfolio source: **retirement-portfolio-18.xlsx**, used only for holdings, allocation and cash context.

Analyst disclosure / disclaimer: This report is an independent research-assistance document prepared for informational purposes. The rating, fair-value range, scenarios and entry zones are analytical judgments, not guarantees and not personalized investment, legal or tax advice. Non-GAAP measures are used where management and investors commonly use them to assess operating trends; they should be considered alongside GAAP results. Market prices and consensus estimates can change quickly. Verify material facts against the company's final FY2026 Form 10-K and subsequent filings before making an investment decision.